

DVY Rotation Plan

Redeploying the legacy DVY position • tax-advantaged account • July 21, 2026
Prepared for Cam Wilbur

RECOMMENDATION

Sell the full DVY position and split the proceeds 50/50 into SCHD and AVUV, entirely within the tax-advantaged account. SCHD keeps a genuine defensive, high-yield dividend sleeve as ballast to your high-growth names — upgraded from DVY to a cheaper (0.06% vs 0.38%), higher-quality fund that complements DGRW rather than duplicating it. AVUV advances your under-target small-cap allocation. No tax consequence; VXUS stays funded from the taxable side to preserve the foreign tax credit.

Trade Blotter

Action	Ticker	Fund	~Shares	~Amount	Account
SELL	DVY	iShares Select Dividend	158 (all)	\$25,542	Tax-advantaged
BUY	SCHD	Schwab US Dividend Equity	388	\$12,759	Tax-advantaged
BUY	AVUV	Avantis US Small-Cap Value	102	\$12,795	Tax-advantaged

Prices per your 7/17 portfolio snapshot; place as market orders at execution-day prices. Net cash impact ~\$0.

Before → After (share of \$1.71M portfolio)

Holding	Before	After	Target	Note
SCHD (dividend ballast)	0.00%	0.75%	—	upgrades DVY; joins DGRW 0.61%
AVUV (small-cap value)	0.76%	1.51%	~5%	progress; gap remains
DVY	1.50%	0.00%	—	exited
VXUS (int'l)	0.84%	0.84%	~10%	fund from taxable (FTC)

Why This Split

- **Keeps defensive ballast, but better.** SCHD gives you the ~3.2%-yield, value-tilted dividend exposure DVY provided — at one-sixth the fee and with a quality screen — to steady the AMZN/AVGO/META/NFLX growth block.
- **Complements, not duplicates.** DGRW (already in this account) is lower-yield, growth-tilted quality; SCHD is higher-yield, value-tilted. Together they cover both sides of the dividend-quality spectrum.
- **Tax-location clean.** SCHD’s dividends are shielded in the tax-advantaged account; AVUV is location-neutral; VXUS is deliberately left for the taxable account to keep its foreign tax credit.
- **Advances a real gap.** AVUV moves from 0.76% toward its 5% target with no tax cost.

What’s Left to Do

- **Idle cash accelerant:** this account holds ~\$45.5K of idle cash (CASH + USAXX). Sweeping it into AVUV alongside the DVY proceeds would essentially close the entire 5% small-cap target in one move.
- **VXUS is the larger gap** (0.84% vs 10% target). Keep directing taxable-account contributions and trims to it per your standing 2/3 VXUS split.
- **Dial the mix** if you want more ballast: shift the split toward SCHD (e.g., 60/40) — the trade-off is slower AVUV progress.

Analysis for your own decision-making, not individualized investment advice. Position values from your 7/17 portfolio export; fund data via Alpha Vantage. Prepared for Cam Wilbur • Investments project.